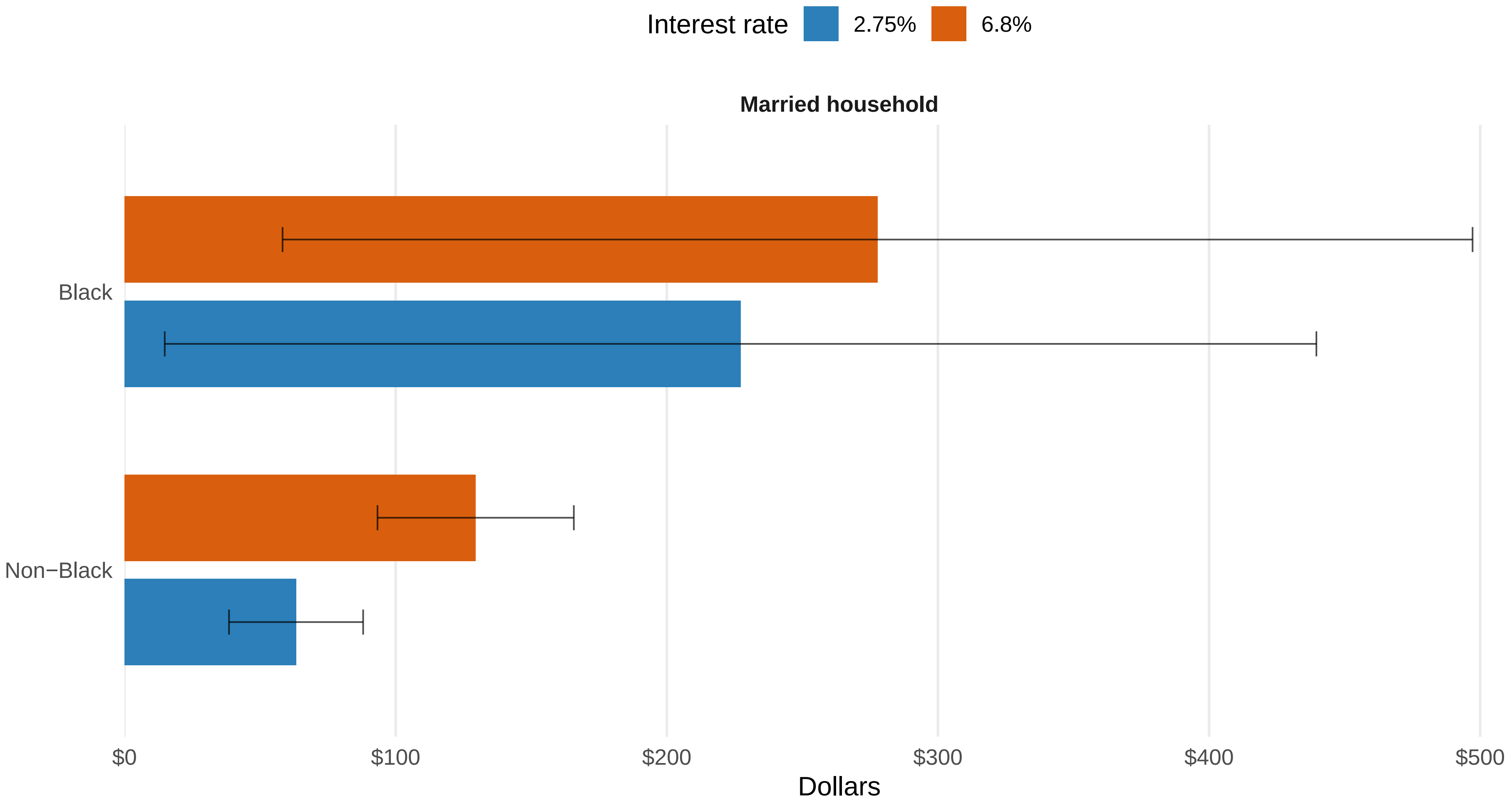
Figure 5: A Higher Married Cap Expands Deductions Most for Some Groups

Estimated allowable−deduction gain from raising the married−household deduction cap to $5,000



Author's analysis of 2024 Survey of Income and Program Participation data.
Raising the married−household deduction cap from $2,500 to $5,000 changes the modeled deduction while keeping the nonmarried cap at $2,500 and leaving the income and MAGI rules unchanged.
Population: households with positive student debt that pass the income screens used in the analysis.
Only married households are shown in the married−cap figures because nonmarried households have no policy change.
The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 to 2025; because borrower−specific loan terms are not observed, they show a plausible range of impacts.